



Spatial Truth: Location Service for Physical AI

APPENDICES FAQ (DEEP DIVES)

Appendix A: Market Sizing & Serviceable Addressable Market (SAM)

Executive Summary By 2027, the global connected vehicle market will reach 360M units. Spatial Truth targets the **72M** commercial vehicles within this base that require centimeter location accuracy. Our Serviceable Addressable Market (SAM) consists of **45M** vehicles operating in mature 5G Standalone (SA) regions, including North America, Western Europe, and East Asia. Where network architecture supports centimeter-level location accuracy.

Q A1: What is the total addressable market (TAM) for location services?

A: We define the market by the active connected vehicle base rather than traditional connectivity ARPU. Connectivity is a "race to the bottom." Companies like Amazon or Toyota want to pay as little as possible for data. If you only sell data, you are just a pipe.

TAM is based on high-value vehicle. The charge is for the fact that the vehicle is now centimeter-accurate regardless of how much data it consumes.

- Global Connected Base: Projected to exceed 400M vehicles by 2025.

- **Current Connectivity:** The 5G Automotive Association (5GAA) reports 300M+ vehicles with advanced connectivity currently in operation.
- **2027 Consensus:** Market analysts project a stabilized base of ~360M-370M connected vehicles globally.

Q A2: How many of these vehicles represent high-value commercial vehicle fleets?

A: Commercial vehicles are the primary drivers of centimeter-level location dependent revenue.

- **Commercial Segment:** Estimated at 20% of the total connected vehicle base by 2027. (20% of 360M total connected base is ~72M)
- **Target Segment:** This equates to ~72M connected commercial vehicles globally.
- **Strategic Focus:** These assets represent the core base addressable by Spatial Truth's accuracy SLAs.

Q A3: What criteria define the Serviceable Addressable Market (SAM)?

A: Our SAM is limited to regions where the network can act as a sensor. This requires:

- 5G Standalone (SA) core network architecture.
- Location Management Function (LMF) software deployment.
- Dense gNB coverage to ensure signal trilateration.
- Regulatory frameworks permitting network-based positioning.

Q A4: Which geographic regions meet these requirements today?

A: Mature 5G SA deployments currently exist in the following high-density logistics hubs:

- **Americas/Europe:** United States, Canada, and Western Europe.
- **Asia-Pacific:** Japan, South Korea, and Tier-1 urban markets in China.
- **Middle East:** GCC countries including the UAE and Saudi Arabia.

Q A5: What is the final SAM calculation?

A: We conservatively estimate that 60% of global connected commercial vehicles operate within the 5G-SA ready regions listed above.

- **SAM Calculation:** **60% of 72M vehicles = 45M** connected commercial vehicles.
- **Exclusions for Conservatism:** This figure excludes consumer passenger vehicles (despite Life360's 80M+ subscriber proof-of-concept), emerging 5G markets, and non-automotive sectors like maritime or agriculture.

Q A6: Why is this estimate considered conservative?

A: This sizing ensures a realistic "Day 1" revenue path. It accounts only for regions with active 5G SA readiness and assumes that regulatory approvals are already localized. It ignores massive "early adoption" segments that will likely convert as 5G cores expand globally.